

RSI & TRENDLINES

RSI & Trendlines

- The Relative Strength Index (RSI) is a popular momentum oscillator used in technical analysis to measure the speed and change of price movements.
- It provides insights into whether an asset is overbought or oversold and helps identify potential trend reversals. Here's an overview of the RSI and how it is interpreted:

Calculation

- The RSI is calculated based on the average gains and losses over a specified period, typically 14 periods, but it can be adjusted to suit different timeframes.
- The formula for calculating RSI is : $RSI = 100 - (100 / (1 + RS))$, where RS (Relative Strength) is the average gain divided by the average loss over the chosen period.

RSI range

- The RSI value ranges from 0 to 100. RSI values above **70 are generally considered overbought**, indicating that the asset may be due for a price correction or reversal.
- RSI values below **30 are generally considered oversold**, suggesting that the asset may be due for a price rebound or reversal.

1. RSI Logic & Settings

- RSI is a momentum oscillator that measures the speed and change of price movements on a scale of 0 to 100.
- **14-Period Setting:** This is the default setting. It calculates momentum based on the last 14 candles.
- **Low Period (e.g., 7):** Makes RSI very sensitive/jittery (more signals, more noise).
- **High Period (e.g., 21):** Makes RSI smoother (fewer signals, but late).
- **70/30 Levels:** Traditionally, a reading above 70 is considered "Overbought" (excessive buying) and below 30 is "Oversold" (excessive selling).

2. Overbought/ Oversold Traps :

- The biggest mistake beginners make is selling as soon as RSI hits 70 or buying at 30. In a strong trend, RSI can stay in these zones for a long time.
- **The Trap:** In a powerful bull market, RSI hitting 70 often means the trend is strong, not that it's over. Price will continue to rise while RSI stays "stuck" above 70.
- **The Solution:** Use RSI levels as caution zones, not automatic triggers. Only act when the RSI moves back inside the range (e.g., drops below 70) OR shows a divergence.

How To Plan An Entry And Exit Using RSI?

ENTRY

The Buy Setup (Bullish Confluence):

- RSI Condition: RSI is below 30 (Oversold) or shows Bullish Divergence (Price makes a Lower Low, but RSI makes a Higher Low)
- Price Location: Price is touching a major Support Zone.
- Candle Confirmation (The "Trigger")

How To Plan An Entry And Exit Using RSI?

The Sell Setup (Bearish Confluence):

- RSI Condition: RSI is above 70 (Overbought) or shows Bearish Divergence (Price makes a Higher High, but RSI makes a Lower High)
- Price Location: Price is touching a major Resistance Zone.
- Candle Confirmation (The "Trigger")
- **Entry Rule:** Enter the trade only at the closing of the confirmation candle. If the candle is still forming, the signal can disappear.

EXIT

1. The Profit Target (Exit)

- Primary Exit: Exit just before the next major S&R level. If you buy at Support 1, your target is Resistance 1.
- RSI Exit: If the price is moving strongly, you can wait until the RSI hits the opposite extreme (e.g., exit a buy trade when RSI reaches 70-75).

EXIT

2. The Stop Loss (Safety)

- Buy Trade: Place your Stop Loss slightly below the Support Zone or below the low of your confirmation candle.
- Sell Trade: Place your Stop Loss slightly above the Resistance Zone or above the high of your confirmation candle.
- A trade plan is incomplete without knowing exactly where to get out.

TRENDLINE

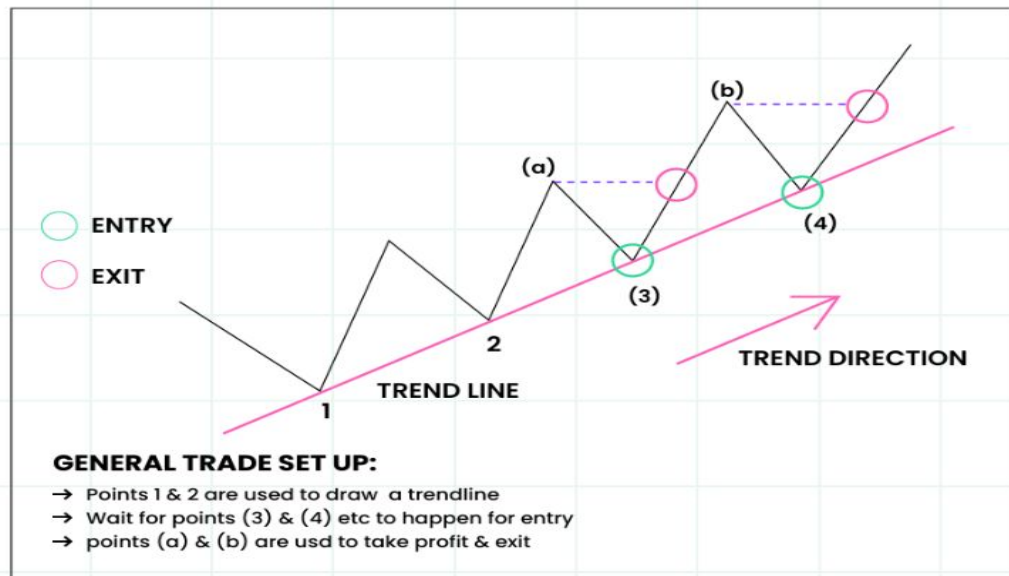
A trendline strategy is a popular technical analysis approach used by traders to identify and trade with the prevailing trend in a market. Trendlines are lines drawn on a price chart to connect consecutive higher lows (uptrend) or consecutive lower highs (downtrend).

TRENDLINE

How to Draw Them:

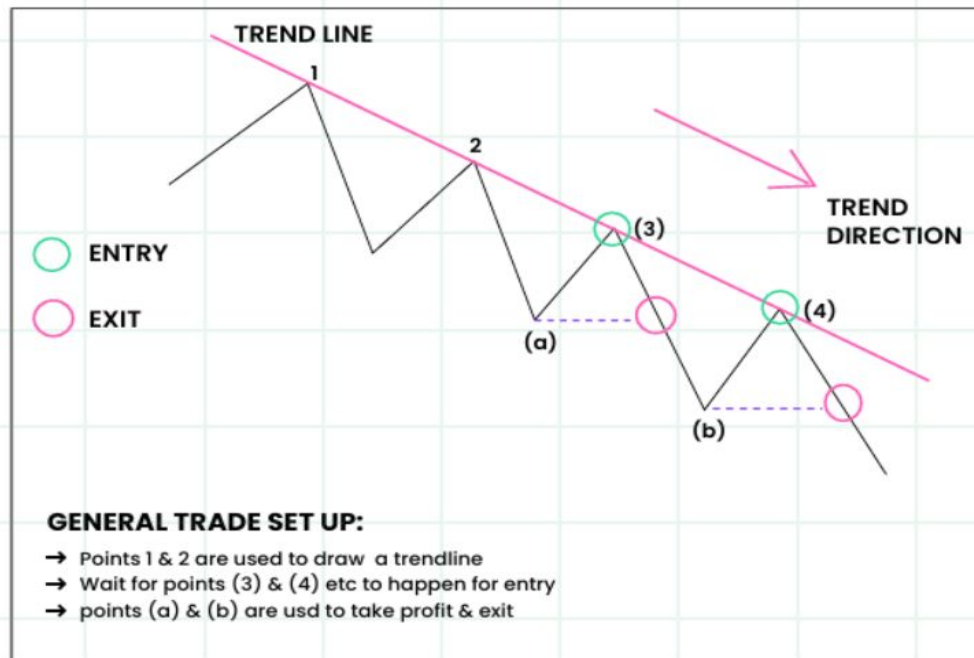
1. Identify Pivots: Find the most obvious "peaks" (highs) or "valleys" (lows).
2. The Rule of Two: You need at least two points to draw a line.
3. The Rule of Three (Validation): A trendline is only considered "valid" and reliable once the price touches it a third time and bounces.
4. Don't Force It: If you have to tilt the line awkwardly to touch the wicks, it's probably not a real trendline. The best ones are obvious.

This is a general setup for Long Entry (or buy setup)





This figure below is a general setup for short Entry (or sell setup).





THANK YOU